

OFFICIAL MEMO

TRADE
ZONE.ORG

To : Head of Growth | Head of Seller Operations.
From : Data Analytics Team
Date : April 22, 2026
Subject : Tradezone Performance Analysis 2023-2024

EXECUTIVE SUMMARY

TradeZone recorded remarkable growth between 2023 and 2024, with platform revenue scaling from approximately ₦101 million to ₦614 million, a trajectory that reflects genuine expansion in both customer base and order volumes. While this headline performance is encouraging, a closer look at the data reveals important patterns in product concentration, regional consumer behaviour, and seller performance that present both clear opportunities and risks the business needs to address going forward.

KEY FINDINGS

Finding 1: Growth Is Strong, but the Platform Is Still Finding Its Footing. Revenue grew consistently across every quarter in 2024, with the final quarter alone recording over 740 transactions and ₦257 million in revenue. The first quarter of 2024 showed the sharpest year-on-year jump; revenue in that period was roughly seventeen times what it was in the same quarter of 2023. However, this comparison needs context. Early 2023 represented the platform's earliest trading period with very few active customers, so the percentage jump is partly a reflection of how small the starting point was rather than an explosion in demand. The more meaningful signal is that growth has been steady and compounding throughout 2024, with each quarter building on the last. This suggests TradeZone is past its early, fragile stage and entering a phase of more reliable, scalable growth.

Finding 2: The Business Is Heavily Dependent on One Product Category. Every single product among the top ten highest earning items in 2024 came from the Electronics category. The leading product alone (a laptop) generated over ₦21 million in revenue. While strong electronics sales are positive, this level of concentration means the platform's financial performance is essentially tied to one category. Any disruption in electronics supply, pricing, or competition could have an outsized impact on overall revenue. There is also an interesting pattern in how customers make purchasing decisions: products with moderate review scores generated significantly more total revenue than those with the highest ratings. This indicates that factors like price, availability, and visibility influence what customers buy more than review scores alone, which is worth considering when promoting products on the platform.

Finding 3: Customers' payment varies significantly by region, which could bring about operational consequences. Payment behaviour is not uniform across Nigeria. Customers in Lagos and Abuja show a strong preference for card payments, with Lagos alone recording over 340 card transactions totalling more than ₦112 million. In contrast, customers in Kano and Oyo rely heavily on Cash on Delivery as their preferred payment method. This is not simply a difference in preference; it has direct operational implications. Cash on Delivery orders require more complex last-mile logistics, carry a higher risk of failed or rejected deliveries, and are more expensive to process than prepaid digital orders. The business is effectively running two different operational models across its markets without a deliberate strategy to address that gap.

RECOMMENDATIONS

- **Actively Recruit Sellers Outside of Electronics to Reduce Category Risk.** The Growth Team should start a focused seller acquisition campaign targeting Fashion, Food and Beverages, and Home and Garden categories within the next few months. Incentives such as reduced commission rates or promotional visibility for new sellers in these categories would improve onboarding. The data shows that customer demand exists across categories beyond Electronics; the gap is on the supply side. Looking forward, the expected outcome is that at least three non-Electronics products appear among the platform's top twenty revenue earners, reducing the business's dependence on a single category.

- Introduce Digital Payment Incentives in Cash-Dominant Markets. The Seller Operations Team should work with mobile money and card payment providers to introduce a time-limited incentive for digital payments, specifically in Kano and Oyo; for example, a small discount or loyalty reward for customers who pay digitally rather than on delivery. Payment data clearly shows these markets are lagging behind Lagos and Abuja in digital adoption. Shifting even a portion of Cash on Delivery transactions to prepaid digital orders in these states would reduce failed delivery rates, lower operational costs, and improve cash flow predictability for sellers operating in those regions. Which in turn could cause almost a 15% increase in digital payment transactions as a share of total orders in both states.

DATA QUALITY

- Order Amount Inconsistencies During data preparation, I identified 124 orders where the recorded order total did not match the sum of the individual items in that order, with gaps ranging from just above ₦10 to over ₦326,000 in the most extreme cases. Because I couldn't determine from the data alone which figure was correct, the order total or the item's breakdown, these records were kept in the dataset but excluded from revenue calculations that required precise figures. If it turns out the item's figures were correct and the order totals were wrong, some revenue numbers in this analysis may be slightly understated or overstated across those affected orders.
- Missing and Invalid Customer Review Scores. A small number of product reviews contained rating values that fell outside the acceptable one to five scale, including negative numbers and a score of seven. These invalid scores were removed from the analysis rather than corrected, since there was no reliable way to determine what the intended rating was. The review records themselves were kept intact. If these scores had been included in seller and product performance calculations, they would have distorted the average ratings used to evaluate seller quality and identify bonus-eligible sellers.

HIDDEN DETAILS

- Looked towards finding out whether or not customers make purchases and never return. The analysis made can show how many new customers made a first purchase within 30 days of signing up, and across the top five states that conversion rate ranged from 31% to 49%. But the data does not tell what happens after that first transaction. There's no visibility into how often customers return, what causes them to stop engaging with the platform, or what would bring them back. To answer this properly, the business would need to share customer session activity, repeat order history over longer time periods, and ideally, any available data on why customers become inactive. With that information, a proper retention analysis could be built that would give the company a much clearer picture of long-term customer value beyond the initial sign-up window.